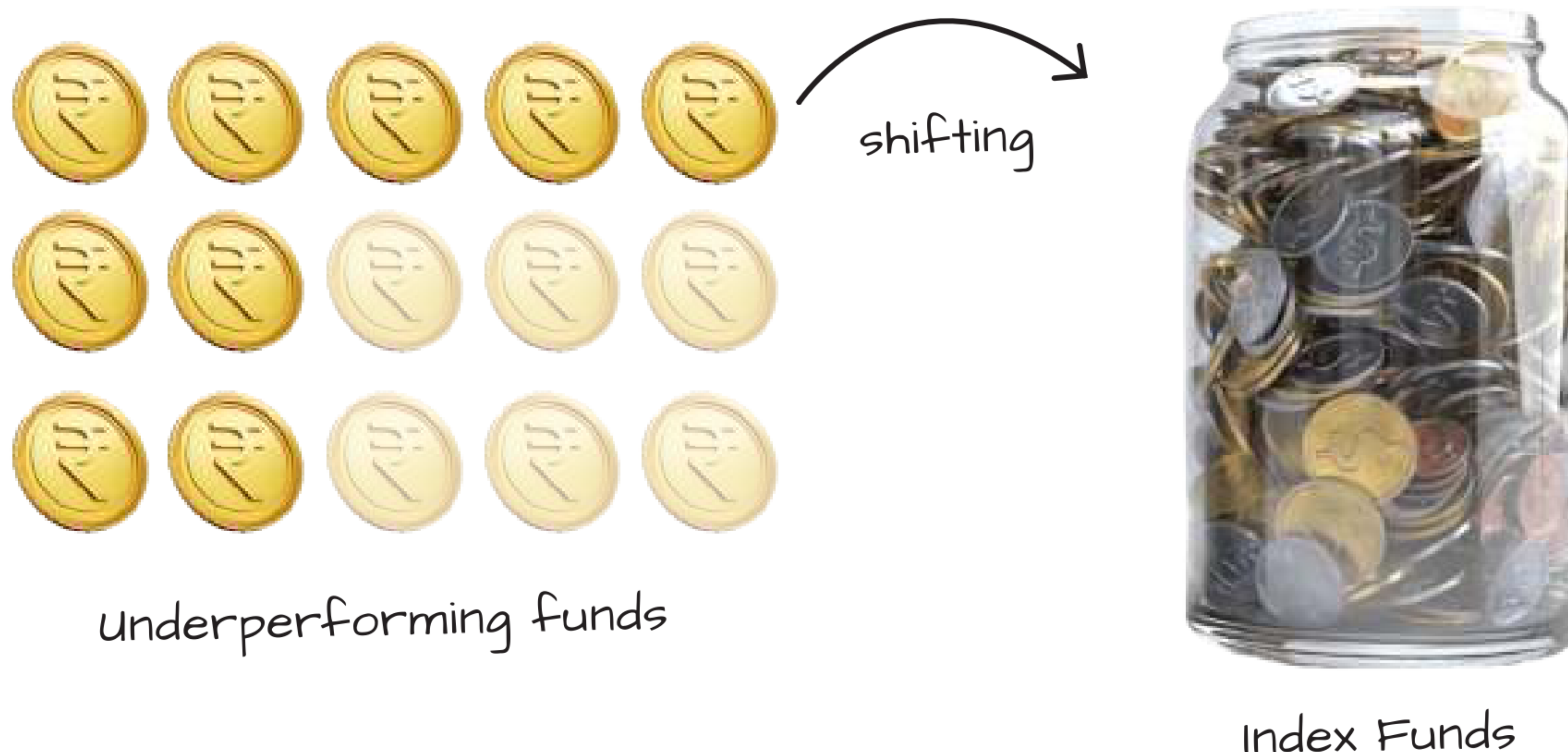


4. Massive Underperformance

This is only for mutual funds. If your mutual funds consistently underperform compared to their benchmarks (explained on page 363), it's time to reassess. The benchmark of mutual funds will be given in the mutual fund factsheet. For mutual funds, don't panic if there is underperformance for a year or two. These can be market-related movements. However, if it continues beyond that, it is time to re-evaluate. Here's what to do:

1. Check how other funds in the same category are performing. If more than 75% are underperforming, consider shifting to an index fund, especially in the case of large-cap funds.



2. Look for explanations for the underperformance. Fund managers often provide insights in interviews or on the mutual fund factsheet. Be patient if the justifications are valid, as some strategies take time to play out.



3. If you find the justifications aren't convincing, consider switching your investments.

Remember, choosing a mutual fund involves a commitment. Invest time and effort upfront to make informed decisions. Your financial future will thank you for it!